

ILLUSTRATION BY **RAJ VERMA**

Adani companies—Green, Total Gas, Transmission, Enterprises, Ports, Power and Wilmar—in the top 100, with a combined average market capitalisation of nearly that of Reliance Industries. This new kid on the block is certainly running fast, and time will tell if it burns itself out or makes it to the very top.

This doesn't mean that the old behemoths are resting on their laurels. The Tata group, for example, appears far more energetic than it has over the last two decades, under the able stewardship of its Chairman. Fragmented internal group structures have been rejigged, investments made in sunrise sectors like electric vehicles, and a solid game plan is evident in the digital domain with its numerous recent acquisitions. This is a group ready to face the next decade.

Speaking of the digital domain, while many new names have been listed in the year gone by, some of which find their way into the top 500, it is worth noting that there are still only

four digital stocks in the top 100—Nykaa (FSN E-Commerce), Zomato, Info Edge and Paytm (One 97 Communications). The influence of digital is so ubiquitous in today's India that this seems a very low number, but perhaps there is a message here: these companies have to start making profits, for the market to give them the valuations necessary to propel them into the big league. Price to sales won't cut it; it will have to be through the more difficult price to earnings route used by their older peers. As the venture capital drought intensifies, some of these names may drop out of the top 500 but eventually many more of the top 100 will come from this domain, inevitably, as India's digital transformation continues. It is a journey interrupted, not aborted.

The top 100 has other interesting takeaways—from the absence of even a single real estate name to the inclusion of defence stocks like HAL. The market, in all its wisdom, gives us so many signs.

As we look ahead into the unfolding decade, it is critical that many of the mid-caps and small-caps from the top 500 list go on to emerge as large-caps. With the passage of time, as the dust settles on the global mayhem and India's relative strengths become more manifest, the global money will come back seeking returns. It will be so much better, then, if instead of piling into the same six IT and private banking names, they see value in the faster growing leaders in smaller sectors. That would expand the market and maybe, in time, even raise the chances of India severing its umbilical cord with the rest of the emerging market pack, and stand out on its own.

In all global economic listings today, India has already made its way into the top 5. No longer a mid-cap, more a large-cap on its way to becoming a mega-cap. Our market value has to follow, and one hopes future top 500 lists will only pave the way for that. **BT**